Q19

(i)

P is more profitable than W, with higher revenue and greater profit in absolute terms. [1]

More importantly, P has a higher return on capital employed, which indicates that the company is generating more profit in relation to the funds invested by the shareholders and lenders. [1]

The higher ROCE suggests that P is more effective as a business. [1]

W has a higher gross profit % than P, which could imply that it is making greater profit from every £1 of sales. [1]

The fact that the two companies are direct rivals indicates that the gross profit % figures are comparable. [1]

In this case, it seems likely that P has a policy of selling goods at lower selling prices in order to generate greater overall profits. [1]

P is turning inventory over more quickly than W, which suggests that customers are more willing to buy from P. [1]

P generates 1,357/600 = £2.26 from every £1 of property, plant and equipment while W generates 1,232/400 = £3.08. That suggests that W is more efficient in its management of PPE, despite having poorer performance overall. [1]

P appears to be much more efficient in terms of other operating costs, such as administration and marketing. [1]

P spends only 42/600 = 7% of revenue on those costs, while W spends 40/400 = 10% [1]

[Total 10]

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(ii)
One concern is that the two companies could have different levels of reliance on online retail. [1]
W's more efficient use of PPE could indicate that it makes a larger proportion of its sales online and so does not require as many traditional brick and mortar shops. [1]
In the short term, establishing an efficient online presence could have made W less efficient than P, but there could be a longer term advantage in terms of the two approaches to retail and so W could become the more profitable company as it becomes more established. [1]
The fact that P is 50% larger than W in terms of revenue could create a false sense that it is the more efficient company. [1]
P could benefit from economies of scale, which would create a false impression that it is more efficient than W **[1]**. [1]
It may be that W will compete effectively despite the disadvantage of being a smaller company and will prove to be better managed in the long term [1]
[Total 6]

(iii)
The fact that the two companies are retailers will have a significant impact on cash flows because sales will result in immediate payment. [1]
Neither company has trade receivables, so a sale results in an immediate inflow of cash. [1]
Goods are purchased on trade credit, with payments due after 8/128x365 = 23 days for W and 10/228x365 = 16 days for P. [1]
There is also the fact that the bulk of the current liabilities are payable to the tax authorities. It is unlikely that the tax will be payable until several months have passed. There is no need for either company to hold cash in the short term prior to these bills becoming payable. [1]
[Total 4]

[Total 20]

Commentary:
Part I was answered very well by most candidates, it was good to see so many candidates understood what the changes in ratios meant. Part ii was not as good as answers were a little vague, however many candidates produced good answers as to what information could be useful when making a comparison between the two companies. *Part iii was answered reasonably well although few candidates mentioned taxation or current liabilities.*

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